

Concall Analysis

Chairman / CEO Letter

- India's securities market is expanding rapidly with 22.45+ crore industry demat accounts.
- CDSL crossed 18 crore demat accounts and maintained 80% market share.
- Growth is being driven by Tier II & III cities, young investors, women investors, and first-time investors.
- Management's vision is to create an "Atmanirbhar Investor" through easy access, education, protection, and digital services.
- Technology is viewed as a tool for trust, transparency, and inclusion, not just efficiency.
- The company remains optimistic on India's long-term financialisation despite global uncertainty.

Key takeaway

CDSL is positioning itself as the core infrastructure provider for India's expanding retail investment ecosystem.

2. Management Discussion & Analysis (MD&A) (Pages 189–214)

- Retail participation remained strong, though market activity moderated from previous highs.
- Revenue is supported by:
 - folio/issuer charges,
 - transaction charges,
 - IPO & corporate-action services,
 - pledge services,
 - e-voting and eCAS.
- Technology and employee costs increased, with technology becoming a larger strategic investment.
- Subsidiaries (CVL, CIRL, CCRL) provide additional growth opportunities.
- Management expects long-term growth from deeper market penetration and digital adoption.

Key takeaway

The business has strong structural growth drivers, but profitability may fluctuate with market activity and technology investments.

3. Business Overview

- CDSL provides safe electronic custody and transfer of securities.
- It connects investors, brokers (DPs), issuers, exchanges, clearing corporations, and RTAs.
- The company has built a technology-led depository platform.
- Important milestones include:
 - becoming India's largest depository,
 - crossing 18 crore accounts,
 - multilingual eCAS,
 - investor app enhancements,
 - T+1 and optional T+0 readiness,
 - DigiLocker and nomination integration.

Key takeaway

CDSL's competitive advantage is scale, technology, and ecosystem integration.

4. Risk Factors / Risk Management

Major risks identified:

- Cybersecurity and data breaches
- Technology failure or downtime
- Regulatory changes
- Operational errors
- Third-party/vendor dependency
- Market activity slowdown
- Data protection and privacy obligations (DPDP Act)

The company emphasises:

- resilient infrastructure,
- cybersecurity controls,
- governance frameworks,
- business continuity planning,
- regulatory compliance.

Key takeaway

The most material risk is technology and cyber risk, given CDSL's role as a critical market infrastructure institution.

5. Segment Information (Financial Statements)

CDSL has limited traditional operating segments. The report focuses more on subsidiary-wise businesses:

CVL (KRA business)

- 10.33 crore KYC records
- 70%+ market share

CIRL (Insurance repository)

- 22 lakh e-insurance accounts

CCRL (Commodity repository)

- eNWR and warehouse ecosystem

Key takeaway

The core depository business dominates, while subsidiaries provide adjacent growth optionality.

6. Financial Highlights and MD&A

Summary

Demat accounts

18.01 crore

Market share

80%

Standalone income

₹1,096 crore

Standalone PAT

₹468 crore

Consolidated income

₹1,239 crore

Consolidated PAT

₹455 crore

Q4 standalone PAT

₹69 crore

Key takeaway

Revenue continued to grow, but quarterly profit softened due to lower IPO-related income and higher technology spending.

7. Corporate Governance

- Majority of the board consists of Public Interest Directors.
- Separate committees for:
 - Audit,
 - Risk Management,
 - Nomination & Remuneration,
 - Stakeholder Relations.
- Emphasis on:
 - regulatory compliance,
 - transparency,
 - ethics,
 - investor protection,
 - independent oversight.

Key takeaway

Governance standards appear strong and are designed to support CDSL's role as a market infrastructure institution rather than a typical commercial company.

8. Notes to Accounts

Focus areas

Technology expenditure

- Significant increase in technology-related spending.

Investments

- Mark-to-market movements affected other income.

Subsidiaries

- Performance and ownership disclosures for CVL, CIRL, and CCRL.

Contingent liabilities & related parties

- No major red flags highlighted in the relevant disclosures reviewed.

Key takeaway

The notes support the management narrative that CDSL is investing heavily in technology and maintaining a relatively clean balance-sheet profile.

Overall Summary

CDSL delivered strong structural growth in FY2025–26, supported by rapid expansion of India's retail investor base, especially in Tier II and Tier III cities. The company maintained a dominant 80% market share and crossed 18 crore demat accounts. Management is focused on building a technology-led, resilient, and investor-centric infrastructure platform. While revenue growth remained healthy, quarterly profitability moderated due to weaker IPO activity and higher technology investments. Key risks relate to cybersecurity, technology reliability, regulatory changes, and data protection. Governance standards appear robust, with strong public-interest oversight. Overall, CDSL remains a high-quality market infrastructure business benefiting from India's long-term financialisation trend, though near-term margins may remain under pressure as technology investments continue.